

As noted above, the Court finds that Mr. Aloupas' mistake was reasonable. Likewise, the Court finds that any neglect on Mr. Aloupas' part was excusable.

Summary:

Motion to continue the 2/19/2027 trial date is denied. Request to reopen discovery bases on mistake and excusable neglect is granted.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2505826	NGUYEN VS NGUYEN	DEMURRER
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CVRI2505826	NGUYEN VS NGUYEN	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Moving party: Defendant Tam Nguyen, dba Tam Nguyen, Broker

Responding party: Plaintiffs Blossom Nguyen and Tan Van Ta

This real estate action arises between Plaintiffs Blossom Nguyen and Tan Van Ta ("Plaintiffs") and Defendants Lan Le ("Agent"), Tam Nguyen, an individual doing business as Tam Nguyen, Broker ("Broker"), and Lending Chain Inc. ("Lending Chain").

On October 14, 2025, Plaintiffs filed a Complaint against Agent, Broker, and Does 1-20. The operative complaint is the First Amended Complaint ("FAC"), which Plaintiffs filed on March 17, 2026, against Agent, Broker, and Lending Chain as Doe 1. The FAC asserts the following causes of action: (1) Fraud/Intentional Misrepresentation; (2) Conversion (as to Agent only); (3) Breach of Fiduciary Duty; (4) Constructive Fraud; (5) Breach of Contract (as to Agent and Broker only); (6) Negligence/Negligent Supervision (as to Broker only); (7) Fraudulent Business Practices (Bus. & Prof. Code § 17200); (8) Unjust Enrichment/Money Had and Received; (9) Civil Theft/Identity Theft (PC § 496(c); Civ. Code §§ 1798.92; 1798.93); (10) Intentional Infliction of Emotional Distress; (11) Violation of Civil Code § 2079.16 (as to Agent and Broker only); (12) Aiding and Abetting Fraud (as to Lending Chain only); and (13) Negligent Supervision of Mortgage Origination (as to Lending Chain only).

In the FAC, Plaintiffs allege that they are Vietnamese American homeowners who speak English as a second language. Plaintiffs allege that Agent was a close family friend who had assisted them with two prior real estate transactions.

In early 2023, Plaintiffs engaged Agent and Broker to sell their property located at 9422 Hawthorne Avenue, Riverside, California 92503 ("the Property"). The Property had an existing mortgage payoff of \$130,000.00, and the sale was expected to generate \$400,00.00 in net proceeds after the mortgage payoff and escrow fees. On August 30, 2023, the Property was sold for \$565,000.00.

Plaintiffs allege that during the sale process, Agent made numerous misrepresentations that induced Plaintiffs to obtain over 20 cashier's checks totaling over \$118,00.00. Plaintiffs allege that Agent represented that this money was required to close escrow, but misappropriated the funds for herself. Plaintiffs further allege that Broker, Agent, and Lending Chain tricked them into signing a \$263,000.00 cash-out refinance

that was secured by the Property, falsely representing that the refinance was necessary for the sale. However, Plaintiffs allege that the refinance proceeds were diverted to Agent. At the close of escrow, Plaintiffs allege that Lending Chain received a payoff of \$263,000.00 from the escrow proceeds, and Agent misappropriated approximately \$133,000.00 from the refinance proceeds.

Plaintiffs further allege that Agent made unauthorized charges totaling \$35,000.00 using their credit card information, which she obtained during escrow. Plaintiffs allege that Agent has partially repaid approximately \$132,016.00, but approximately \$305,610.00 remains outstanding, in addition to interest, fees, and damages.

Broker generally and specially demurs to the FAC's allegations for failure to state sufficient facts to constitute a cause of action and for uncertainty. Specifically, Broker argues that Agent was not licensed under Broker's license, and as such, Broker cannot be held vicariously liable for Agent's actions or omissions. Broker further moves to strike Plaintiffs' claims for punitive damages and attorney fees from the FAC.

In opposition, Plaintiffs argue that Broker is attempting to resolve this action on its merits, which is improper at the demurrer stage. Plaintiffs contend that the FAC is not uncertain and that they pleaded sufficient facts to state their causes of action and support their claims for punitive damages and attorney fees.

In reply, Broker repeats the arguments from the underlying demurrer and motion to strike.

Requests for Judicial Notice

Broker seeks judicial notice of copies of national and state licensing information for Agent and her purported broker, Hai Tran Pham. However, as explained in *Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604-605:

The court will take judicial notice of records such as admissions, answers to interrogatories, affidavits, and the like, when considering a demurrer, only where they contain statements of the plaintiff or his agent which are inconsistent with the allegations of the pleading before the court. The hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of affidavits, declarations, depositions, and other such material which was filed on behalf of the adverse party and which purports to contradict the allegations and contentions of the plaintiff.

Here, Broker is improperly turning this into an evidentiary hearing. "A court ruling on a demurrer therefore cannot take judicial notice of the proper interpretation of a document submitted in support of the demurrer. [Citations.] In short, a court cannot by means of judicial notice convert a demurrer into an incomplete evidentiary hearing in which the demurring party can present documentary evidence and the opposing party is bound by what that evidence appears to show... Thus, a court ruling on a demurrer cannot decide a question that may depend on disputed facts by means of judicial notice." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 115.)
DENY.

Analysis

I. Meet and Confer

Code of Civil Procedure §§ 430.41 and 435.5 require a meet and confer in person, by telephone, or by videoconference prior to filing a demurrer or motion to strike.

The evidence does not show that the parties met and conferred via the statutorily required methods, as Broker's counsel sent one email to Plaintiffs' counsel, who did not respond. (Mellor Decl., ¶ 3-8, Exh. A.) Nevertheless, the Court will reach the merits of the motions, but admonishes movant for the future.

II. Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of Univ. of Cal.* (1990) 51 Cal.3d 120, 125.)

The court assumes the truth of all material facts which have been properly pleaded and of facts which may be inferred from those expressly pleaded. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) A demurrer, however, does not admit contentions, deductions, or conclusions of fact or law. (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defects can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

A special demurrer lies where the pleading is uncertain, ambiguous, or unintelligible. (C.C.P. § 430.10(f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616.) As a result, a special demurrer for uncertainty is not intended to reach failure to incorporate sufficient facts in the pleading but is directed only at uncertainty existing in the allegations already made. (*People v. Taliaferro* (1957) 149 Cal.App.2d 822, 825.) Where the complaint is sufficient to state a cause of action and to apprise defendant of issues he or she is to meet, it is not properly subject to a special demurrer for uncertainty. (*Id.*)

A. General and Special Demurrer to Entire FAC

Broker generally and specially demurs to the entire FAC, arguing that Broker cannot be held responsible for Agent's actions or omissions because the public record shows that Broker did not employ or supervise Agent, as Plaintiffs alleged in the FAC.

However, in evaluating this demurrer, the Court assumes Plaintiffs' allegation that Broker supervised and employed Agent is true. (*Crowley, supra*, 8 Cal.4th at 672.) Further, "[q]uestions of fact cannot be decided on demurrer." (*Bath v. State of California* (2024) 105 Cal.App.5th 1184, 1201; see also *M.F. v. Pacific Pearl Hotel Management LLC* (2017) 16 Cal.App.5th 693, 703 ["Questions of fact generally require the consideration and weighing of evidence, which makes them unsuitable for resolution on demurrer."].) Rather, "[a] demurrer is a pleading used to test the legal sufficiency of other pleadings, i.e., it raises issues of law, not fact, regarding the form or content of the

opposing party's pleading (complaint, petition, answer or cross-complaint)." (Weil & Brown, *California Practice Guide: Civil Procedure Before Trial* (The Rutter Group 2026) Ch. 7(I)-A, § 7:5, citing C.C.P. §§ 422.10, 589; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994; *Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388; *SJJC Aviation Services, LLC v. City of San Jose* (2017) 12 Cal.App.5th 1043, 1051-1052.) As such, the purpose of a demurrer is not to resolve the action on its merits.

Here, Broker improperly attempts to resolve this action on its merits, which is not appropriate at the demurrer stage. Accordingly, the Court **DENIES** the general and special demurrer to the **entire FAC**.

B. First Cause of Action for Fraud / Intentional Misrepresentation

The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.)

"The essential elements of a count for intentional misrepresentation are: (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage." (*Chapman v. Skype* (2013) 220 Cal.App.4th 217, 230-231.)

Every element of a cause of action for fraud and misrepresentation must be pled factually and specifically, and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47; *Charnay v. Cobert* (2006) 145 Cal.App.4th 170, 185, fn. 14.) "This particularity requirement necessitates pleading *facts* which 'show how, when, where, to whom, and by what means the representations were tendered.' [Citation.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

Here, Plaintiffs allege that in the middle of escrow, Broker, Agent, and Lending Chain tricked Plaintiffs into signing a \$263,000.00 cash-out finance based on the false representation that it was necessary for the sale; the misrepresentation was made to extract Plaintiffs' equity in the Property prior to closing; Plaintiffs reasonably relied on the misrepresentation due to the fiduciary relationship; and that such reliance directly resulted in damages. (FAC, ¶¶ 10.b-c, 15-17.) This is sufficient for pleading purposes.

Broker argues that Plaintiffs' allegations are uncertain because they are not specifically directed at Broker, but improperly rely on group pleading and attribute the wrongful acts collectively to "Defendants." However, the FAC alleges that Broker is liable for Agent's acts through their agency relationship (FAC, ¶¶ 2-3, 18-19), and generally alleges that each defendant was the agent of the other (FAC, ¶ 6.) "An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer." (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212.) Further, in general, the allegations in a pleading are liberally construed with a view to substantial justice between the parties. (C.C.P. § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1238.) Where a complaint is sufficient to state a cause of action and to apprise defendant of issues he or she is to meet, it is not properly subject to a special demurrer for uncertainty. (*Taliaferro, supra*, 149 Cal.App.2d at 825.)

Accordingly, Plaintiffs' frequent use of the term "Defendants" is not uncertain because the FAC clearly alleges that Broker is liable for Agent's actions under the agency

relationship, and states that Plaintiffs are imputing each defendant's actions or omissions upon the other. Given the policy of liberal construction with inferences made in favor of Plaintiffs, the FAC has alleged sufficient facts to apprise Broker that she is to meet each issue alleged against all Defendants. Any ambiguities can be later "clarified under modern discovery procedures." (*Khoury, supra*, 14 Cal.App.4th at 616.)

Given the above, the Court **OVERRULES** the general and special demurrer to the **1st cause of action for fraud / intentional misrepresentation**.

C. Fifth Cause of Action for Breach of Contract

The elements of a breach of contract claim are: (1) the existence of a contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) resulting damages. (*San Mateo Union High School Dist. v. County of San Mateo* (2013) 213 Cal.App.4th 418, 439).

"If [an] action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) Alternatively, the plaintiff may also plead the legal effect of the contract. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198-199.) "In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant legal terms." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489).

Here, Plaintiffs allege that they entered into a written exclusive residential listing agreement on a standard California Association of Realtors form ("Listing Agreement"), in which Defendants agreed to act as Plaintiffs' real estate broker and agent in connection with the sale of the Property. (FAC, ¶ 34.) Plaintiffs do not attach a copy of the Listing Agreement, but assert that the Listing Agreement imposed contractual and fiduciary duties upon Defendants, including the duties of honesty, full disclosure, loyalty, reasonable supervision of agents, and obligation to act in Plaintiffs' best interests at all times. (FAC, ¶ 36.) This is sufficient to allege the legal effect of the contract for pleading purposes.

Thus, the Court **OVERRULES** the general and special demurrer to the **5th cause of action for breach of contract**.

D. Seventh Cause of Action for Fraudulent Business Practices

Business & Professions Code § 17200 (also referred to as the "Unfair Competition Law", or "UCL") prohibits any business act or practice that is unlawful, unfair, or fraudulent. A cause of action for violating this statute "borrows" actionable conduct and makes it independently actionable under the unfair competition law. (*Smith v. State Farm* (2001) 93 Cal.App.4th 700, 718.)

No particularity in pleading is required for a UCL claim. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 1 Cal.4th 26, 46-47 (stating that fraud is the only claim that requires fact-specific pleading).) However, the claim "must be stated with reasonable particularity, which is a more lenient pleading standard than is applied to common law fraud claims." (*Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1261.) "[T]o state a claim under the act one need not plead and prove the element

of a tort. Instead, one need only show that ‘members of the public are likely to be deceived.’ ” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1151.)

As further discussed above, Plaintiffs’ cause of action for fraud survives. In addition, Plaintiffs allege that Defendants’ actions were “part of a larger scheme targeting Vietnamese homeowners, involving Agent, Broker, the refinance lender and possibly others.” (FAC, ¶ 12.) This is sufficient to state a UCL claim against Defendants, including Broker.

Thus, the Court **OVERRULES** the demurrer to the **7th cause of action for fraudulent business practices under the UCL**.

E. Eleventh Cause of Action for Violation of Civil Code § 2079.16

Civil Code § 2079.16 governs the contents of the real estate disclosure form regarding the real estate agency relationship, which sets forth the duties of the seller’s agent and buyer’s agent. Specifically, § 2079.16 states that a seller’s agent has “a fiduciary duty of utmost care, integrity, honesty, and loyalty in dealings with the Seller,” and following duties to both the buyer and seller: “(a) [d]iligent exercise of reasonable skill and care in performance of the agent’s duties[;] (b) [a] duty of honest and fair dealing and good faith[; and] (c) [a] duty to disclose all facts known to the agent materially affecting the value or desirability of the property that are not known to, or within the diligent attention and observation of, the parties.” (Civ. Code § 2079.16.) These duties have been reaffirmed in case law. (See *Holmes v. Summer* (2010) 188 Cal.App.4th 1510 [when the seller’s real estate agent or broker is aware of facts materially affecting the value or desirability of the property which are known or accessible only to him, he or she is under a duty to disclose them to the buyer].)

Although Broker argues that Plaintiffs failed to plead the statutory violation with specificity, the FAC alleges that the Broker failed to comply with § 2079.16 and breached her statutory duties to Plaintiffs by failing to adequately supervise Agent, permitting false and misleading representations and material omissions, and failing to disclose or correct material information. (FAC, ¶¶ 64-67.) Plaintiffs adequately detailed such misrepresentations, omissions, and failure to supervise or disclose in the preceding factual allegations. (FAC, ¶ 10; the FAC contains two paragraphs numbered “10,” and both are cited here.) The Court reads the complaint as a whole in evaluating a demurrer. (*Moore, supra*, 51 Cal.3d at 125.) Accordingly, Plaintiffs have sufficiently pleaded a cause of action for violation of Civil Code § 2079.16 against Broker.

Thus, the Court **OVERRULES** the general and special demurrer to the **11th cause of action for violation of Civil Code § 2079.16**.

III. Motion to Strike

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]” (C.C.P. § 435(b)(1).) The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, “[s]trike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (C.C.P. § 437(a).) On a motion to strike, as with a demurrer, the court reads the allegations of the complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.)

A. Punitive Damages

Plaintiffs may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code § 3294(a).) A motion to strike is the proper vehicle to attack a punitive damages claim where the facts alleged do not rise to the level of fraud, malice or oppression. (C.C.P. §§ 435-436; *Turman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) If the defect in the pleading is correctible, leave to amend should be granted. (*Grieves v. Superior Court*, 157 Cal.App.3d 159, 168.)

i. First, Second, Fourth, and Ninth Causes of Action; Prayer

Because Plaintiffs’ claims for fraud against Broker survive, Plaintiffs’ claim for punitive damages as to the 1st, 2nd, 4th, and 9th causes of action are adequately supported at the pleadings stage. Accordingly, the Court **DENIES** the motion to strike **punitive damages** from the FAC as to the **1st, 2nd, 4th, and 9th causes of action and Prayer**.

ii. Tenth and Eleventh Causes of Action

As to the 10th and 11th causes of action for intentional infliction of emotional distress and violation of Civil Code § 2079.16, respectively, Plaintiffs’ claim for punitive damages rests on allegations that Brokers’ actions were willful, malicious, and oppressive.

As defined in the statute, “malice” is “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others,” while “oppression” is defined as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code § 3294(c)(1) and (2).) As used in the statute, “despicable conduct” is conduct that is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*American Airlines, Inc. v. Sheppard Mullin Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1050.)

“[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal.App.3d 864, 872.) The pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 317.)

Here, Plaintiffs allege sufficient facts to support their claim for punitive damages against Broker based on malice and oppression. Specifically, Plaintiffs contend that Broker failed to adequately supervise Agent and knowingly permitted Agent to make false and misleading representations, allowing an unauthorized or improperly affiliated Agent to act in the transaction, and failing to disclose or correct material information. (FAC, ¶¶ 10, 18, 37, 67.) Plaintiffs allege that Broker’s actions were part of a larger scheme targeting Vietnamese homeowners. (FAC, ¶ 12.) These factual allegations are sufficient to establish that Broker engaged in conduct intended to cause injury to Plaintiffs, or alternatively, engaged in despicable conduct with a willful and conscious disregard of the rights of others to justify a claim for punitive damages.

Accordingly, the Court **DENIES** the motion to strike **punitive damages** from the FAC in **full**.

B. Attorney Fees

Attorney fees are awarded when authorized by contract, statute, or law. (C.C.P. § 1033.5(a)(10).) Here, Plaintiffs do not allege whether attorney fees are available by contract, statute, or law. Plaintiffs acknowledge that the FAC does not expressly allege that the Listing Agreement provides for the recovery of attorney fees, and seeks leave to amend. Thus, the Court **GRANTS** the motion to strike **attorney fees** from the FAC, with leave to amend.

Summary:

Deny Broker's requests for judicial notice in full. Overrule the demurrer in full. Deny, in part, the motion to strike as to punitive damages. Grant, in part, the motion to strike attorney fees with **30 days** leave to amend.